

CRED III Master Funds

**Combined Financial Statements (Unaudited)
June 30, 2025**

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Index

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	Page(s)
Combined Financial Statements (Unaudited)	
Combined Statement of Assets, Liabilities and Capital (Unaudited)	1
Combined Schedule of Investments (Unaudited)	2
Combined Statement of Operations (Unaudited)	3
Combined Statement of Changes in Capital (Unaudited)	4

CRED III Master Funds
Combined Statement of Assets, Liabilities and Capital (Unaudited)
June 30, 2025

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Assets			
Investments, at fair value (cost \$237,033,449 and \$106,873,203 respectively)	\$ 248,944,170	\$ 116,158,843	\$ 365,103,013
Cash	4,450,472	738,837	5,189,309
Restricted cash	2,712,000	-	2,712,000
Due from affiliates	-	486,002	486,002
Interest receivable	501,090	276,010	777,100
Deferred financing costs, net	76,827	76,827	153,654
Other assets	-	75,000	75,000
Total assets	<u>\$ 256,684,559</u>	<u>\$ 117,811,519</u>	<u>\$ 374,496,078</u>
Liabilities and Capital			
Repurchase facilities payable	\$ 103,374,121	\$ -	\$ 103,374,121
Credit facility payable	12,514,616	27,484,579	39,999,195
Interest payable	1,587,244	246,153	1,833,397
Management fee payable	509,617	597,081	1,106,698
Deferred loan fees, net	-	118,659	118,659
Accounts payable and accrued expenses	46,420	-	46,420
Total liabilities	<u>118,032,018</u>	<u>28,446,472</u>	<u>146,478,490</u>
Partners' capital	138,652,541	89,240,047	227,892,588
Non-controlling interest	-	125,000	125,000
Total capital	<u>138,652,541</u>	<u>89,365,047</u>	<u>228,017,588</u>
Total liabilities and capital	<u>\$ 256,684,559</u>	<u>\$ 117,811,519</u>	<u>\$ 374,496,078</u>

CRED III Master Funds
Combined Schedule of Investments (Unaudited)
June 30, 2025

Investments (160.1% of capital)

Description	Ownership Percentage	Cost Basis	Fair Value	Fair Value as Percentage of Capital
<u>Mortgage-backed security investments</u>				
FREMF 2022-KF134 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	\$ 40,491,244	\$ 40,491,244	17.7%
FREMF 2022-KF145 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	53,080,210	53,080,210	23.3%
FREMF 2022-KF151 Multifamily Mortgage Pass-Through Certificates, Class CS ⁽¹⁾	7.5%	58,597,171	59,084,962	25.8%
Total mortgage-backed security investments		<u>152,168,625</u>	<u>152,656,416</u>	<u>66.8%</u>
<u>Preferred equity investments</u>				
South Tryon Flats - Charlotte, NC	56.2%	19,970,830	23,868,028	10.5%
Navona - Mesa, AZ	43.3%	31,262,216	35,697,830	15.7%
Towerview at Ballantyne - Charlotte, NC	34.9%	12,506,939	14,105,430	6.2%
The Valiant - Berkeley, CA	33.6%	8,478,528	9,325,906	4.1%
Aer Lamar - Austin, TX	36.2%	12,285,284	12,873,982	5.6%
Inspire Sonoran Desert - Phoenix, AZ	31.1%	361,027	416,578	0.2%
Total preferred equity investments		<u>84,864,824</u>	<u>96,287,754</u>	<u>42.3%</u>
<u>Real estate loan investments</u>				
35 Stone - Seattle, WA	100.0%	26,651,248	26,651,248	11.7%
JP Morgan Facility Portfolio - Various ⁽²⁾	51.0%	64,102,016	73,329,360	32.2%
Capital One Facility Portfolio - Various ⁽³⁾	53.7%	16,119,939	16,126,582	7.1%
2900 Terrace - Miami, FL	77.2%	-	51,653	0.0%
Total real estate loan investments		<u>106,873,203</u>	<u>116,158,843</u>	<u>51.0%</u>
Total investments		<u>\$ 343,906,652</u>	<u>\$ 365,103,013</u>	<u>160.1%</u>

⁽¹⁾ Loan or portion thereof is pledged as collateral supporting the outstanding secured borrowings with repurchase facilities.

⁽²⁾ The JP Morgan Facility Portfolio is levered with a senior participation from JP Morgan and the related values are shown net of such senior participation.

⁽³⁾ The Capital One Facility Portfolio is levered with a repurchase facility from Capital One and the related values are net of such repurchase facility.

CRED III Master Funds
Combined Statement of Operations (Unaudited)
For the Six Months Ended June 30, 2025

	CRED III Master Fund L.P.	CRED III Holdings L.P.	CRED III Master Funds (Combined)
Investment income			
Interest income	\$ 9,672,189	\$ 1,654,339	\$ 11,326,528
Dividend income	1,232,625	2,071,147	3,303,772
Other income	32,999	67,539	100,538
Total investment income	10,937,813	3,793,025	14,730,838
Expenses			
Interest expense	3,539,724	359,306	3,899,030
Management fees	921,960	956,744	1,878,704
Professional fees	159,098	158,798	317,896
Amortization of deferred financing costs	92,181	86,526	178,707
Administrative fees	97,393	15,756	113,149
Organizational costs	7,494	7,494	14,988
Other expenses	82,813	42,781	125,594
Total expenses	4,900,663	1,627,405	6,528,068
Net investment income (loss)	6,037,150	2,165,620	8,202,770
Change in unrealized gain (loss) on investments			
Change in unrealized gain (loss) on investments	3,179,870	2,478,992	5,658,862
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interest	9,217,020	4,644,612	13,861,632
Dividends to non-controlling interest	-	(7,500)	(7,500)
Net increase (decrease) in capital	\$ 9,217,020	\$ 4,637,112	\$ 13,854,132

CRED III Master Funds
Combined Statement of Changes in Capital (Unaudited)
For the Six Months Ended June 30, 2025

	General Partner	Limited Partners	Non-controlling Interest	Total
<u>CRED III Master Fund L.P.</u>				
Capital as of December 31, 2024	\$ -	\$ 154,894,667	\$ -	\$ 154,894,667
Net investment income (loss)	-	6,037,150	-	6,037,150
Change in unrealized gain (loss) on investments	-	3,179,870	-	3,179,870
Net increase (decrease) in capital resulting from operations	-	9,217,020	-	9,217,020
Contributions	-	2,492,961	-	2,492,961
Distributions	-	(27,952,107)	-	(27,952,107)
Total increase (decrease) in capital	-	(16,242,126)	-	(16,242,126)
Capital as of June 30, 2025	<u>\$ -</u>	<u>\$ 138,652,541</u>	<u>\$ -</u>	<u>\$ 138,652,541</u>
<u>CRED III Holdings L.P.</u>				
Capital as of December 31, 2024	\$ 172,347	\$ 83,901,481	\$ 125,000	\$ 84,198,828
Net investment income (loss)	-	2,165,620	-	2,165,620
Change in unrealized gain (loss) on investments	-	2,478,992	-	2,478,992
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	4,644,612	-	4,644,612
Contributions	-	2,476,116	-	2,476,116
Distributions	-	(1,947,009)	-	(1,947,009)
Dividends to non-controlling interest	-	(7,500)	7,500	-
Payments of dividends to non-controlling interest	-	-	(7,500)	(7,500)
Carried interest	662,581	(662,581)	-	-
Total increase (decrease) in capital	662,581	4,503,638	-	5,166,219
Capital as of June 30, 2025	<u>\$ 834,928</u>	<u>\$ 88,405,119</u>	<u>\$ 125,000</u>	<u>\$ 89,365,047</u>
<u>CRED III Master Funds (Combined)</u>				
Capital as of December 31, 2024	\$ 172,347	\$ 238,796,148	\$ 125,000	\$ 239,093,495
Net investment income (loss)	-	8,202,770	-	8,202,770
Change in unrealized gain (loss) on investments	-	5,658,862	-	5,658,862
Net increase (decrease) in capital resulting from operations before dividends to non-controlling interests	-	13,861,632	-	13,861,632
Contributions	-	4,969,077	-	4,969,077
Distributions	-	(29,899,116)	-	(29,899,116)
Dividends to non-controlling interest	-	(7,500)	7,500	-
Payments of dividends to non-controlling interest	-	-	(7,500)	(7,500)
Carried interest	662,581	(662,581)	-	-
Total increase (decrease) in capital	662,581	(11,738,488)	-	(11,075,907)
Capital as of June 30, 2025	<u>\$ 834,928</u>	<u>\$ 227,057,660</u>	<u>\$ 125,000</u>	<u>\$ 228,017,588</u>